Before the
New York State Public Service Commission

In the Matter of

Consolidated Edison Company of New York, Inc.

Case 25-E-0072
Case 25-G-0073

June 2025

Rebuttal Testimony of:

Michele Chait

On Behalf of:

The City of New York

INTRODUCTION

Q. PLEASE STATE YOUR NAME, OCCUPATION, AND BUSINESS ADDRESS.

A. My name is Michele Chait. I am an independent economic and regulatory consultant in the electricity sector. My business, Chait Analytics Corp., is located at 455 Pinewood Drive, San Rafael, California 94903.

Q. ON WHOSE BEHALF ARE YOU SUBMITTING THIS TESTIMONY?

A. The City of New York, or City.

Q. ARE YOU THE SAME MICHELE CHAIT WHO SUBMITTED DIRECT TESTIMONY ON MAY 30, 2025 ON BEHALF OF THE CITY OF NEW YORK?

A. Yes.

Q. IS YOUR BACKGROUND AND PROFESSIONAL EXPERIENCE INFORMATION SET FORTH IN THAT TESTIMONY?

A. Yes.

Q. DO YOU HAVE ANY CHANGES TO THAT INFORMATION?

A. No.

Q. WHAT IS THE PURPOSE OF YOUR REBUTTAL TESTIMONY?

A. I have reviewed the direct testimony of and offer rebuttal testimony in response to the following witnesses:

- Dustin M. J. Madsen on behalf of the New York State Utility Intervention Unit, or UIU;
- the UIU Rate Panel;
- Ben Johnson, Ph.D. on behalf of a bipartisan group of 40 Westchester County cities, towns, and villages referred to as the Westchester Municipal Consortium;
- Ron Nelson on behalf of the Environmental Defense Fund, or EDF;
- Jigar J. Shah on behalf of Electrify America LLC; and
- the Staff Rates Panel.

Q. WHAT ISSUES DOES YOUR REBUTTAL TESTIMONY ADDRESS?

A. My rebuttal testimony addresses (1) cost of service and revenue responsibility for electric and gas service; (2) the need to offer electric rate structures supportive of heat pump adoption and electric heating; (3) electric and gas minimum system studies; (4) proposed rate discounts for customers in Westchester County; and (5) revenue allocation for DC fast charging, or DCFC.

Q. ARE YOU SPONSORING ANY EXHIBITS WITH YOUR TESTIMONY?

A. Yes. Exhibit__(Chait-12) is the interrogatory response I reviewed in preparing my rebuttal testimony. Exhibit__(Chait-13) illustrates seasonal

revenue expected for Nelson's two rate design proposals. Exhibit__(Chait-14) illustrates seasonal revenue expected from the Company's proposed rates for SC1 Rate IV. Exhibit__(Chait-15) compares annual bills for SC1 Rate I, SC1 Rate IV, and Nelson's two proposed rate structures. Exhibit__(Chait-16) lists the Company's current overhead power line undergrounding projects in Brooklyn, Queens, Staten Island, and Westchester. Exhibit__(Chait-17) shows usage per customer and average $/therm rates for SC3 Rate I and SC3 Rate II.

Q. PLEASE SUMMARIZE YOUR CONCLUSIONS AND RECOMMENDATIONS.

A. My conclusions and recommendations on rebuttal are as follows:

- The re-alignment term for ECOS surplus and deficiency amounts for gas service should not exceed three years for service classifications other than SC3.
- For electric service, I support a re-alignment term for ECOS surplus and deficiency amounts of three years and oppose any re-alignment trajectory for NYPA that differs from what is implemented for the remaining electric service classifications.
- The customer charge for SC1 Rate IV should not be reduced.
- Rate structures highly supportive of electrification must remain available to residential customers adopting heat pumps.

- If either or both of Nelson's proposed rate structures are implemented, SC1 Rate IV should not be eliminated.
- The customer charge for the energy-only option of SC12 Rate I should not be reduced.
- Support the use of a minimum system study to classify electric and gas system costs into demand- and customer-driven components.
- Recommend Johnson's proposal regarding rate discounts for Westchester customers not be subject to further consideration.
- Support Shah's proposal to defer allocation of revenue levels associated with DC fast charging rates, provided this does not defer changes in revenue levels for service classifications applicable to, but not specific to, DC fast charging.

COST OF SERVICE AND REVENUE RESPONSIBILITY

Q. WHICH PARTIES ARE YOU REBUTTING THAT MADE PROPOSALS REGARDING COST OF SERVICE AND REVENUE RESPONSIBILITY?

A. The Staff Rates Panel and the UIU Rate Panel.

Q. DOES THE STAFF RATES PANEL SUPPORT THE COMPANY'S ECOS STUDIES FOR ELECTRIC AND GAS SERVICE?

A. Yes. Page 17 of Staff Rates Panel's testimony states that the Panel finds the Company's 2023 electric ECOS study to be reasonable and recommends that the Commission adopt the results. On page 20, the Panel states that the gas ECOS study results can be viewed as a reasonable guideline for applying necessary revenue increases or decreases among the service classes specified in the study and for allocating future revenues among the various service classes.

Q. DO YOU HAVE ANY CONCERNS REGARDING THESE RECOMMENDATIONS?

A. Yes. In making these recommendations, it is not clear whether the Staff Rates Panel specifically considered application of the income tax factor on surplus and deficiency amounts or the exclusion of SC13 in Table 1A, which produces the final surplus and deficiency amounts for realignment.

Q. WHAT DOES THE STAFF RATES PANEL PROPOSE REGARDING RE-ALIGNMENT OF REVENUE SURPLUSES AND DEFICIENCIES FOR ELECTRIC RATES?

A. Due to concerns regarding affordability, Staff recommends realigning revenue surpluses and deficiencies by one-fourth in the Rate Year to allow for a more gradual approach and to further mitigate bill impacts.

Q. DO YOU SUPPORT THIS PROPOSAL?

A. I do not oppose this proposal. However, Staff's testimony did not discuss its proposed re-alignment trajectory for future years and associated bill impacts.

Q. WHAT RE-ALIGNMENT TERM DOES THE STAFF RATES PANEL RECOMMEND FOR SURPLUSES AND DEFICIENCIES FOR GAS RATES?

A. Page 30 of the Staff Rates Panel's testimony recommends a term of nine years in order to help mitigate rate shock for SC3 Rate I customers.

Q. DO YOU SUPPORT THIS PROPOSAL?

A. In light of the revenue increases required for SC3 Rate I, I do not oppose a re-alignment term of nine years. However, a re-alignment term longer than three years is not necessary for service classifications other than SC3 Rates I and II.

Q. WHAT DOES THE UIU RATE PANEL PROPOSE?

A. The UIU Rate Panel proposes a unique revenue re-alignment proposal for NYPA only.

Q. ACCORDING TO THE COMPANY'S 2023 ECOS STUDY, WHAT IS NYPA'S REVENUE DEFICIENCY?

A. The Company's ECOS study lists NYPA's revenue deficiency as $34.8 million. Eliminating a deficiency brings the deficient service classification's returns to the lower bound of the tolerance band.

Q. WHAT SHARE OF THE $34.8 MILLION FIGURE DOES THE COMPANY PROPOSE TO RE-ALIGN IN RATE YEAR 1, OR RY1?

A. Page 18 of the Company's Electric Rates Panel Testimony states that the Company proposes to realign revenues in RY1 based on one third of the revenue adjustments. The Company proposes to apply the one-third figure consistently across customer classes, including NYPA. Using Company ECOS figures, one-third of the NYPA revenue deficiency is $11.6 million. Including the $168.2 million NYPA share of the proposed delivery rate increase, the total Company-proposed NYPA increase in RY1 is $179.8 million.

Q. WHAT REALIGNMENT DOES THE UIU RATE PANEL PROPOSE IN RY1?

A. The UIU Panel disagrees with the Company's proposal to address one-third of the NYPA $34.8 million revenue deficiency in RY1. Instead, the UIU Rate Panel proposes to increase the amount of the NYPA deficiency collected in RY1 by $13.8 million, or a total of $25.4 million. This proposal

would collect 73% of the $34.8 million deficiency in RY1 and would raise the RY1 revenue increase to $193.6 million.

Q. DO YOU SUPPORT THIS PROPOSAL?

A. No. This proposal is discriminatory and it does not treat NYPA the same as other classes in terms of gradualism. UIU offers no legitimate basis for why NYPA should not be afforded the same treatment as the other customer classes.

Q. WHAT DO YOU RECOMMEND?

A. I support the Company's proposal which aims to re-align electric revenues consistently for all classes in one-third increments over a period of three years. UIU's proposal should be rejected.

ELECTRIC RATE DESIGN

Q. WHICH WITNESSES SUBMITTED TESTIMONY REGARDING ELECTRIC RATE DESIGN?

A. The Staff Rates Panel, UIU Rate Panel, witness Johnson and witness Nelson make proposals regarding electric rate design for SC1. Johnson also makes a proposal for SC12.

Q. WHAT DOES JOHNSON PROPOSE REGARDING SC1?

A. On page 90 of his testimony Johnson recommends slightly steepening the inclining block rate element and introducing an inclining block structure in winter season. He states that gradually transitioning rates in this direction

will provide stronger price signals to encourage energy efficiency and reduce peak demand.

Q. IS JOHNSON'S REASONING CORRECT?

A. Not entirely. Inclining block rates do not provide price signals to reduce peak demand.

Q. IS THIS PROPOSAL APPLICABLE TO SC1 RATE IV?

A. It does not appear to be; SC1 Rate IV does not feature an energy charge component.

Q. WHAT DOES JOHNSON PROPOSE REGARDING SC1 RATE IV?

A. Johnson's Exhibit___(WMC-2) Schedule 2 Table No. 4 indicates that Johnson proposes to decrease the SC1 Rate IV customer charge from the current $29 per month to $21 per month.

Q. WHAT IS THE COMPANY'S PROPOSAL?

A. The Company proposes to increase the SC1 Rate IV customer charge to $34 per month. As indicated on pages 30-31 of Con Edison's Electric Rate Panel Testimony, this is the ECOS cost-based charge net of billing and payment processing costs.

Q. WHAT IS THE OBJECTIVE OF SC1 RATE IV?

A. While SC1 Rate IV is available on an opt-in basis to all residential customers, it is designed to support SC1 customers who install heat pumps.

Q. IS JOHNSON'S PROPOSAL FOR SC1 RATE IV SUPPORTIVE OF HEAT PUMP ADOPTION?

A. No. Johnson's proposal displays a lack of understanding of both the purpose of the SC1 Rate IV offering and the rationale for its structure. The Company proposes to maintain the SC1 Rate IV customer charge at the ECOS study value. This reduces the revenue that must be collected from demand charges which improves heat pump economics. Johnson's proposed rate structure for SC1 Rate IV would reduce the customer charge and increase demand charges. This structure would increase electricity bills for customers with heat pumps and therefore work against the state's heat pump adoption goals.

Q. DOES JOHNSON MAKE OTHER RECOMMENDATIONS THAT MAY RUN COUNTER TO HEAT PUMP ADOPTION GOALS?

A. Yes. On pages 92-93, Johnson advocates for achieving an optimal, yet practical, degree of intraclass homogeneity, and asserts that it might be preferable to place customers with normal-sized single dwelling units on a separate rate, or to consider other factors besides the number of dwelling units behind the meter in segmenting customer classes.

Q. DO YOU HAVE ANY CONCERNS REGARDING THIS PROPOSAL?

A. Yes. It is critical that a rate structure that is supportive of heat pump adoption remains available to residential customers. I am concerned that if the Company proceeds with examination of a new segmentation of the residential class, customers with heat pumps could be forced onto an inappropriate rate structure.

Q. WHAT DOES THE UIU PANEL PROPOSE REGARDING SC1?

A. To support energy efficiency, on pages 10-11 of UIU Panel Testimony the Panel recommends a reduction to the Company's proposed customer charges for SC 1 and SC 2. It is not clear whether this proposal applies to all SC1 rate options, however discussion regarding SC1 on page 34 appears to limit UIU Panel's SC1 proposal to Rate I. The UIU Rate Panel further recommends that any revenue requirement scale-backs should be more than proportionally deducted from customer charges.

Q. WHAT RATE STRUCTURES GENERALLY SUPPORT LOWER BILLS FOR ALL-ELECTRIC HEATING CUSTOMERS?

A. Generally, customers with electric heating will benefit from a rate structure with relatively less revenue collected via energy charges and relatively more revenue collected via a fixed charge and/or demand charges. An example of this is SC1 Rate IV structure. Additionally, customers with electric heating

will benefit from seasonal differentiation with higher rates in summer season and lower rates in winter season. Winter season energy rates may also be declining block structures to further support lower bills for higher usage customers.

Q. WHAT ISSUES HAVE YOU IDENTIFIED WITH THE UIU RATE PANEL'S PROPOSAL?

A. There is a tension between rate structures that support the economics of energy efficiency and rate structures that support electrification objectives. Energy efficiency measures reduce usage. To support energy efficiency investments, it is desirable to have relatively higher usage-based charges and relatively lower fixed monthly charges. Electrification increases loads. To support investments in electrification measures, it is desirable to have relatively higher monthly fixed charges and relatively lower usage-based charges. In summary, the customer charge strategy for a rate structure promoting energy efficiency is the opposite of the customer charge strategy for a rate structure promoting electrification.

Q. WHAT IS YOUR RECOMMENDATION?

A. Residential customers adopting electrification measures such as heat pumps must have the ability to take service on appropriate rate structures. The Commission must ensure that rate options incentivizing heat pump adoption, such as SC1-IV, are available. The customer charge for SC1-IV

should not be reduced under any circumstances.

Q. WHAT RATE DESIGN PROPOSALS DOES WITNESS NELSON SUPPORT?

A. EDF witness Nelson developed two residential rate structures designed to support heat pump adoption. The first structure features a customer charge and seasonally differentiated flat $/kWh rates. The second structure features a customer charge and seasonally differentiated $/kWh time-of-use rates. Nelson states that these structures will make heat pump adoption more accessible and affordable for the Company's residential customers.

Q. DO YOU SUPPORT THESE STRUCTURES?

A. No, for two reasons. Referring to Exhibit__(Chait-13) in rows 29-40 from the Proposed Rates tab of Johnson's workpapers, this exhibit shows that the total revenue collected from each of his proposed residential rate structures is $3.5 billion, with $1.27 billion collected in summer season and $2.28 billion in winter season. Exhibit__(Chait-14) in the Rows 51-59 from the 16J.)OpDmd_R.Dgn_SC1IV tab of the Company's excel file DPS_1_80_1_4_Rates_RateDesign_WP(RY1) also shows $3.5 billion total revenue, however summer revenue is $1.48 billion and winter revenue is $2.07 billion. Nelson therefore shifts $0.2 billion from summer season into winter season, creating a seasonal revenue allocation that differs from the Company's.

Q. WHAT IS THE SECOND REASON?

A. Nelson's proposed structures produce higher bills than proposed by the Company for SC1 Rate IV. Exhibit__(Chait-15) is the Bill Impacts tab from Nelson's workpapers. The "Annual Costs" row in Exhibit__(Chait 15) illustrates that Nelson's proposed rate structures result in annual bills of $1,213.37 for the flat structure and $1,222.07 for the TOU structure. While these bills are lower than the $1,702.82 annual bill shown for SC1 Rate I, they are higher than the $1,148.40 figure indicated for SC1 Rate IV.

Q. WHAT IS YOUR RECOMMENDATION REGARDING NELSON'S RATE PROPOSALS?

A. If one or both of Nelson's rate proposals are implemented, SC1 Rate IV should not be discontinued. In such case, Nelson's rate(s) would be additional SC1 rate options. To be clear, such rates are not a replacement for SC1 Rate IV because they are not supportive of the economics for adoption of heat pumps and result in higher customer bills.

Q. WHAT TYPES OF CUSTOMERS TAKE SERVICE ON SC12?

A. PSC No. 10, Leaf 478, Revision 3 states that the SC12 rate schedule is applicable to residential tenants of multi-unit dwellings in which all space heating requirements of the residential tenants are supplied by electricity.

Q. HOW IS SC12 CURRENTLY STRUCTURED?

A. SC12 Rate I has two options. The first option, the SC12 Rate I Energy and Demand Option, is a rate structure with a customer charge, a flat energy charge, and demand charges differentiated by season and tension and is defined in PSC No. 10, Leaf 479, Revision 19. The second option, the SC12 Rate I Energy Only Option, is applicable to customers billed on an energy-only basis and features a seasonal declining block design with a fixed fee for usage up to 10 kWh and is defined in PSC No. 10, Leaf 480, Revision 18.

Q. WHAT DOES STAFF PROPOSE REGARDING THE SC 12 ENERGY-ONLY RATE OPTION?

A. On page 35 of the Staff Rates Panel testimony, Staff recommends application of Staff's lower revenue requirement, resulting in a customer charge of $19.00, or $2.00 lower than what the Company proposes, and lower per KWh rates for each of the summer and non-summer periods.

Q. DO YOU SUPPORT THE STAFF RATE PANEL'S RECOMMENDED DESIGN FOR THIS SC12 RATE OPTION?

A. No. In a scenario where the revenue requirement is reduced, a rate design with relatively less revenue collected via energy rates, and relatively more revenue collected via the customer charge, will better support higher usage electric heating customers. I recommend that the customer charge remain

as proposed by the Company, even when applying a lower revenue requirement.

MINIMUM SYSTEM STUDIES

Q. WHAT TYPES OF COSTS ARE CONSIDERED TO BE ELECTRIC DISTRIBUTION PLANT IN THE FERC UNIFORM SYSTEM OF ACCOUNTS?

A. The FERC Uniform System of Accounts states that distribution plant is recorded in accounts 360 through 374. Account 360 accumulates costs of land and land rights; Account 361 structures and improvements; Account 362 station equipment; Account 363 storage battery equipment; Account 364 poles, towers and fixtures; Account 365 overhead conductors and devices; Account 366 underground conduit; Account 367 underground conductors and devices; Account 368 line transformers; Account 369 services; Account 370 meters; Account 371 installations on customers' premises; Account 372 leased property on customers' premises; Account 373 street lighting and signal systems; and Account 374 asset retirement costs for distribution plant.

Q. WHAT IS COST CLASSIFICATION?

A. Cost classification is a step in the development of cost-of-service studies that categorizes functionalized utility costs into customer, demand and

energy categories so that the appropriate allocation factors can be applied to allocate costs across customer classes.

Q. ARE THERE AUTHORITATIVE RESOURCES THAT ADVISE HOW TO CLASSIFY ELECTRIC SYSTEM COSTS?

A. Yes. The NARUC January 1992 Electricity Utility Cost Allocation Manual, or NARUC Manual, is an industry-standard resource that frequently is used to guide the functionalization, classification, and allocation steps of cost-of-service studies.

Q. HOW DOES NARUC RECOMMEND THE COSTS IN ACCOUNTS 360 THROUGH 363 BE CLASSIFIED?

A. The NARUC Manual states on page 90 that these costs should be classified as 100% demand related.

Q. WHAT TYPES OF UTILITY PLANT ARE CONSIDERED TO BE DRIVEN BY BOTH THE NUMBER OF CUSTOMERS AND BY DEMAND?

A. Page 90 of the NARUC Manual indicates that distribution plant Accounts 364 through 369 comprise costs that are driven by both demand and the number of customers. Page 96 indicates that while costs in account 369 are usually classified as customer-related, they may also include a demand component to reflect that larger customers will require more costly service drops.

Q. WHAT IS A MINIMUM SYSTEM STUDY?

A. A minimum system study is an analysis employed to estimate the customer- and demand-related shares of distribution plant in FERC accounts 364 through 369. This study assumes that a hypothetical minimum size distribution system can be built to serve the minimum loading requirements of the customer. The cost of the minimum distribution system is classified as customer-related and the difference between total investment and customer-related costs is classified as demand-related.

Q. DOES THE MINIMUM SYSTEM STUDY ASSUME THAT NO LOAD IS SERVED?

A. No. A fundamental premise of the minimum system approach is the assumption that a minimum size distribution system can be built to serve the minimum loading requirements of the customer. It does not assume that no demand is served.

Q. WHY IS THIS DISTINCTION IMPORTANT?

A. The utility has a requirement to serve. The distribution network must therefore connect each customer to the network and be capable of serving each customer. Consequently, classifying costs in accounts 364 through 369 as partly customer-related is consistent with cost causation.

Q. DOES WESTCHESTER MUNICIPAL CONSORTIUM WITNESS JOHNSON HAVE A SIMILAR UNDERSTANDING OF THE MECHANICS OF THE MINIMUM SYSTEM STUDY?

A. No. Johnson appears to believe that historical investment costs should decline if the number of customers taking service on the system declines. On page 69 of his testimony, Johnson explains that if half of a residential neighborhood served by the Company were to install heat pumps and disconnect from the gas system, the total minimum system costs in that area would not decline proportionally with the weighted number of customers and the calculated minimum system cost per gas customer would increase for the remaining customers. He uses this example to highlight his perceived disconnect between minimum system costs and the number of customers on the system.

Q. SHOULD MINIMUM SYSTEM COSTS VARY IN PROPORTION TO THE NUMBER OF CUSTOMERS ON THE SYSTEM?

A. No. As noted above, the minimum system study utilizes historical FERC account data for accounts 364 through 369. Historical investment in these accounts, such as the number of transformers, miles of conduit, number of poles, and service drops, will be zeroed when the asset is fully depreciated or retired, not when customers leave the system.

Q. IS THIS AN ISSUE FROM A COST ALLOCATION PERSPECTIVE?

A. No. The utility's customer-, demand-, and energy-related embedded costs must be collected by the customers taking service on the system, even if there are fewer customers than existed historically.

Q. WHAT DOES UIU WITNESS MADSEN RECOMMEND REGARDING COST CLASSIFICATION FOR THE GAS SYSTEM?

A. Madsen recommends that the Commission direct the Company, as part of its next rate application, to prepare a revised Embedded Cost of Service Study that better reflects the classification of customer-related and demand-related costs based on the actual design of the gas system rather than based on a notional minimum system approach.

Q. WHY DOES MADSEN MAKE THIS RECOMMENDATION?

A. Madsen testimony pages 90-91 states that the majority of installed pipe is much larger than the minimum sized pipe that the Company has identified.

Q. SHOULD PIPE USED TO COST THE MINIMUM SYSTEM BE SIMILAR IN SIZE TO THE MAJORITY OF INSTALLED PIPE?

A. Not necessarily. The minimum system should reflect customer minimum loading requirements. It is not the existing built out system.

Q. WHAT DO YOU RECOMMEND?

A. I recommend use of a minimum system study to classify electric and gas system costs into demand- and customer-driven components.

ELECTRIC RATES SPECIFIC TO WESTCHESTER COUNTY

Q. WHAT DOES THE WESTCHESTER MUNICIPAL CONSORTIUM WITNESS JOHNSON PROPOSE REGARDING WESTCHESTER COUNTY RATEPAYERS?

A. On page 96 of his testimony he recommends applying a small discount on the rates paid by such customers as a reasonable first step toward alleviating the bills of Westchester County customers. He goes on to state that a discount of about 5% applied to the rates paid by radial customers is a reasonable initial first step.

Q. WHY DOES JOHNSON BELIEVE SUCH A DISCOUNT IS NECESSARY?

A. Johnson asserts that a discount for customers served by overhead radial lines is justified due to the lower cost and quality of this type of service.

Q. DOES JOHNSON PROVIDE EVIDENCE THAT THE COMPANY'S COST TO SERVE CUSTOMERS IN WESTCHESTER COUNTY IS LOWER THAN THE COMPANY'S COST TO CUSTOMERS IN OTHER LOCATIONS?

A. No. On page 83 of his testimony he acknowledges that geographic differences have not been analyzed in depth in the Company's ECOS studies.

Q. ARE ONLY CUSTOMERS IN WESTCHESTER COUNTY SERVED VIA OVERHEAD RADIAL LINES?

A. No. Exhibit__(Chait-16) was extracted from the Company's website at https://www.coned.com/en/our-energy-future/our-energy-vision/where-we-are-going/undergrounding. This exhibit shows that the Company is in the process of undergrounding certain overhead power lines in Westchester, Brooklyn, Queens and Staten Island.

Q. DOES THE PRESENCE OF OVERHEAD RADIAL LINES IN LOCATIONS OTHER THAN WESTCHESTER DISCREDIT JOHNSON'S PROPOSAL?

A. Yes. It would be inequitable if only customers located in Westchester County were eligible to receive bill discounts for service by overhead lines because Staten Island, Brooklyn and Queens also have customers served by overhead radial lines.

Q. IS SERVICE QUALITY DETERMINED SOLELY BY WHETHER A CUSTOMER IS SERVED VIA OVERHEAD RADIAL OR UNDERGROUND NETWORK LINES?

A. No. Exhibit__(Chait-12) comprises the Company's response to Set MTA-2 Question No. 2 which lists three types of Critical Facilities such as hospitals, water plants, police, and fire stations from which essential services and functions for survival, continuation of public safety, and disaster recovery are performed or provided. It states that these facilities plan for continuous electric service to ensure business continuity or continuity of government, and that during system emergency events, the critical facilities levels are to be used as a guide in the development and execution of the restoration plan and related priority rankings.

Q. ARE THERE CRITICAL FACILITY LOCATIONS IN WESTCHESTER?

A. Yes. Facilities listed as Critical Facility Level 1 include hospitals, police and fire operations, and transportation facilities such as Metro North and airports. Level 2 facilities include dialysis centers and licensed nursing homes. Level 3 facilities include adult care facilities and other facilities identified by Westchester County Municipalities, Westchester residential buildings with 6 to 11 stories with an elevator, and schools and colleges.

Q. DOES THE PRESENCE OF THESE CRITICAL FACILITIES DISCREDIT JOHNSON'S PROPOSAL?

A. Yes. Practically, Johnson's proposal would be overly complex to implement, would lead to fairness issues, and would likely generate poor optics. If rates are differentiated based on service quality, Johnson's proposal would require charging higher rates to radial line Critical Facility customers because of their higher service reliability, while non-critical customers served by the same radial lines would be charged lower rates.

Q. WHAT DO YOU RECOMMEND?

A. Johnson's proposal is ill conceived. I recommend that it not be subject to further consideration.

Q. DOES JOHNSON PRESENT OTHER EVIDENCE SUPPORTING THE NEED TO SEGMENT CUSTOMER CLASSES?

A. Yes. On pages 83-84 he states that with further disaggregation and analysis, the estimated cost of serving the smallest customers would be lower, and the cost of serving the largest customers would be higher, than the class-wide averages developed in the Company's ECOS studies.

Q. IS THIS WHAT OCCURRED WHEN THE SC3 CLASS WAS SPLIT INTO RATES I AND II?

A. No. Exhibit __(Chait-17) shows development of the average $/therm rate assuming that the new SC3 Rate I and II classes each provide the 8.49%

system average rate of return. Line 9 shows that SC3 Rate I customers are over 25 times smaller than SC3 Rate II. Line 7 shows that the average $/therm rate for SC3 Rate I customers is $2.83, nearly three times higher than the $1.05 average per therm rate for SC3 Rate II customers.

Q. WHAT IS YOUR RECOMMENDATION?

A. Any disaggregation must not occur unless it is supported on the basis of a dedicated study evaluating potential impacts on all service classifications. Johnson's testimony demonstrates that a sweeping generalization can lead to a grossly incorrect conclusion.

RATE DESIGN FOR DCFC

Q. WHAT DOES ELECTRIFY AMERICA WITNESS SHAH PROPOSE REGARDING DCFC?

A. On pages 3 and 4 of Shah's testimony, Shah recommends that if the Company's increased revenue requirements are approved in this proceeding, the allocation of the revenue levels associated with the Electric Vehicle Charging Rates should be deferred altogether until a future EV rate proceeding where such matters can be sufficiently examined to decrease the negative financial impacts on DCFC customers taking service under such rates.

Q. DO YOU SUPPORT THIS PROPOSAL?

A. I do support this proposal, provided that it is not intended to defer changes in revenue levels for service classifications applicable to, but not specific to, DC fast charging. PSC No. 10, Leaf 95, Revision 13 indicates that these service classifications may include SC 8, SC 9, SC 12, and SC 13, as well PASNY rates I and II.

Q. DOES THIS CONCLUDE YOUR TESTIMONY?

A. Yes.